However, when these attempts failed to meet the conflicting goals of the Congress and the League, the Crown chose to partition the subcontinent into the sovereign states of India and Pakistan.[7] Reflecting the ideology and beliefs of the League, predominantly Muslim regions in the northwest and northeast sections of British India became the foundation of the new Pakistani state.

Despite this arrangement, the British still confronted an important problem, namely the question of the future status of India's 562 "princely states."[8] These states had enjoyed nominal independence, recognizing the "paramount" status of the British and ceding control over defense, foreign affairs, and communications to the Crown. As independence approached, Lord Louis Mountbatten, India's last viceroy, decreed that the doctrine of paramountcy would lapse when the British left the subcontinent. Accordingly, the rulers of the princely states would have to decide whether to join India or Pakistan, based on their demographic composition and geographic propinquity. The vast majority of the states posed little problem. Their rulers recognized that they had no choice but to accept Lord Mountbatten's decree.

But the rulers of the states of Junagadh, Hyderabad, and Jammu and Kashmir refused to obey the viceroy. The nawab of Junagadh was Muslim; his subjects were predominantly Hindu; and his territory abutted the Indian province of Gujarat. Unwilling to accede to India, he fled to Pakistan with his family, after which Junagadh was absorbed into India. The Muslim nizam of Hyderabad, who ruled over a predominantly Hindu population, and whose territory lay deep inside the nascent Indian state, also proved to be recalcitrant. In the end, Hyderabad was incorporated into the Indian union by force.[9]

The state of Jammu and Kashmir posed a unique set of problems. Its monarch, Maharaja Hari Singh, was Hindu; his subjects were predominantly Muslim; and the state shared borders with both India and Pakistan.[10] The maharaja, loath to accede to either India or Pakistan, hoped to create an independent state. He was unwilling to join India because he correctly feared that New Delhi would strip him of the bulk of his privileges, especially his substantial landholdings. He was averse to joining Pakistan because he surmised that as a Hindu monarch who had done little to improve the lot of his Muslim